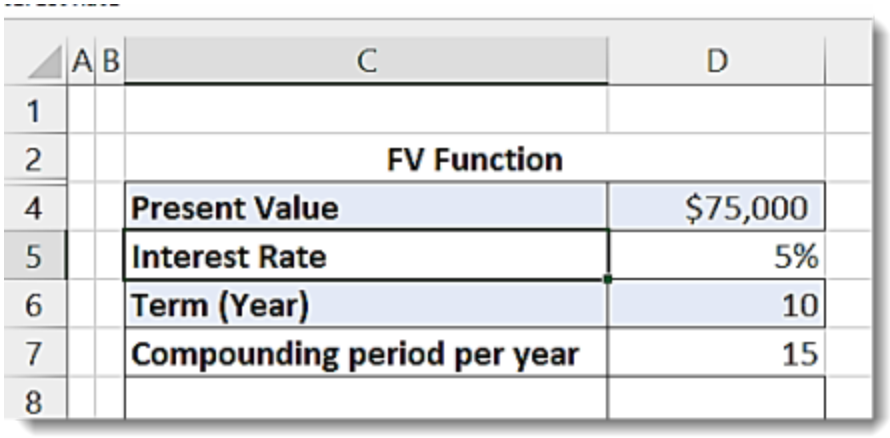
Note:

- When the ***pmt*** involves withdrawing money (for instance depositing to savings), the ***payment value*** should be **negative**; however, if you are receiving money (e.g. income or dividends) the payment value should be **positive**.
- To ensure that your payments on a loan with a 2-year duration and 6% annual interest rate are calculated correctly, the units for both "**rate**" and "**nper**" must be consistent. If you are ***making monthly payments***, you should use 6%/12 (the annual rate divided by 12) as the rate and 2*12 (24 payments in total) as the ***nper***. If, on the other hand, you are making annual payments, you should use 6% (the annual interest rate) as the rate, and 2 (2 payments in total) as the ***nper***.

Let's say you want to calculate the Future Value (FV) based on the information provided below:



	A	B	C	D
1				
2			**FV Function**	
4			**Present Value**	$75,000
5			**Interest Rate**	5%
6			**Term (Year)**	10
7			**Compounding period per year**	15
8				

To calculate the correct result, you'll need to input the interest rate as a percentage or decimal form in cell **D5** and include the percent sign (i.e. **5%**